

Chapter One

Basics of Public Finance

1. Meaning and Scope of Public Finance

1.1. Meaning of Public Finance

Financing of Government is a matter of universal concern. Governments, all over the world have started a number of public projects like social security, protection and other public utilities like electricity, water supplies, railways, heavy electrical ,..etc.

To provide social amenities in the form of education, health and sanitation facilities and public utilities, the government requires adequate revenue.

- ✓ Public finance is sometimes **crudely defined as the study of states**. Such a definition is however very vague to be helpful for comprehending the subject matter.
- ✓ Some other authors **describe the subject as the fiscal operation of the states** giving emphasis to the fiscal policy aspect of government than the monetary policy.
- ✓ Public finance, sometimes **referred to as public sector economics or simply public economics, mainly deals with the provision, custody, and disbursement of the resources needed for the conduct of public or governmental functions**.
- ✓ It is a subject that deals with budgeting the revenues and expenditures of a public sector entity, usually government and for this reason it is also refereed as government finance.
- ✓ A more **comprehensive definition is, a subject dealing with public revenue and expenditure and their effects on economic and social systems**.
- ✓ This definition unlike the others clearly portrays the fact that public finance is not only about government rather it does have a linkage to the private sector also. It is so mainly because ultimately the resources are derived out of the private sector and accordingly the private sectors will be affected. Public finance is one of those subjects, which lie on the borderline between economics and politics.

The most important elements embodied within the above definitions are **government/public bodies and finance**.

Public authorities include all sorts of territorial governments, from parish (rural community) councils up to national, federal and even international government.

1.2. Scope of Public Finance

The following subdivisions, which will be discussed in detail later, form the subject matter of public finance:

1. Public expenditure
2. Public revenue
3. Public debt
4. Financial administration, and
5. Federal finance

1. Public expenditure: Since the modern government represents a welfare state, the responsibility of the government is to bring about maximum social welfare. In addition to this, it has to perform various other functions, which require heavy expenditures. Public finance studies the fundamental principles governing the flow of government funds into different spending streams and the methods of incurring expenditure on the various activities.

2. Public Revenue: Public revenue refers to different sources of government's income. Public finance studies the methods of raising revenue for the government, principles of taxation and other related problems.

3. Public Debt: In modern world, it is not possible for the government to meet all its expenditure through tax and non-tax revenue. Hence public revenue falls short of public expenditure. As a result, governments are forced to borrow. Borrowing by the government is called public debt. Governments borrow from internal and external sources. In the case of internal debt, Government borrows from the people, commercial banks and the central bank. External debt includes borrowing from international monetary institutions like IMF and World Bank and also from foreign countries. Public finance studies the problem relating to the raising and repayment of public loans, the soundness of the borrowing policy of the governments and indication of the healthy direction of spending.

4. Financial Administration: Financial administration is concerned with the organization and functioning of the government machinery that is responsible for performing various financial activities of the state. Preparing the budget for the particular financial year is the master financial plan of the government. The various works, starting with the objectives of designing a budget, the methods of preparing it, presentation of the budget before the Parliament, passing or sanctioning by the Parliament, execution, auditing, implementation etc., constitute the subject matter of public finance.

5. Federal finance

Federal finance is part of the study of public finance. A federation is an association of two or more states. In a federal form of government, there are central, State, and local governments. The interrelationships between these forms of governments, and the problems related to them and the financial functions of all these units are studied under federal finance.

Public Finance (or Public Sector Economics, as it is increasingly called) covers the areas of taxing, spending and budgeting activities of government and their influence on the allocation of resources and the distribution of income. Government refers to all levels of government -- federal, state and local -- though, increasingly, both service delivery and raising revenues are carried out at the state and local levels.

What is public expenditure?

Public expenditure is spending by the public sector during a given period of time. It includes fiscal spending, plus all the spending by fiscal and semifiscal firms with autonomous administration from central government. Public spending is used in goods for public consumption or capital goods, public investment.

In promoting development, the state functions as a provider of goods and services in some areas and plays the role of a facilitator to the private sector in others. Governments undertake expenditures to pursue a variety of economic, social and political goals. Two common social and economic goals are:

- poverty alleviation and
- creating an enabling environment for the private sector

Besides the targeted programs of food and housing subsidies, access to and provision of basic levels of education (primary and secondary) and preventive health care services have been recognized as central to increasing the welfare of the poor.

The enabling environment consists of adequate, properly regulated, well-maintained and efficient infrastructure of airports, roads and ports, electricity, telecommunications, water, waste disposal and other similar facilities. Therefore, an appropriate mix of public spending is needed on equity and efficiency grounds.

What are the key distributional objectives of public spending?

Promote pro-poor growth: There is clearly a role for government to provide certain types of physical and human infrastructure that would otherwise be underprovided and yet are key to assuring that economic growth fully includes those among the poor who are capable of participating.

Assist those left behind during the process of economic growth: It may take a long time for some sub-groups in society to participate in economic growth; some, such as the elderly and disabled, may never participate directly. Others may well be hurt in the short run by policy reforms which are pro-poor in the longer term. There may be related concerns about regionally unbalanced growth.

Help deal with vulnerability: Incomes can be highly variable over time, particularly in poor rural economies; consumption smoothing is also imperfect. So, the poor can be vulnerable to uninsured risk caused by uncertain weather, relative price shifts or the collapse of community-level support systems during a crisis.

How can public spending best meet these objectives with limited resources? The answer often given to this question is "targeting." Those left behind, or vulnerable to risk, can arguably be reached most cost effectively by concentrating limited public resources on narrowly defined "target" groups within society.

In practice, approaches to targeting fall under two categories.

The first is broad targeting. This approach does not target poor directly as individuals. Rather, the poor are reached by targeting services or commodities consumed heavily by the poor. Targeting basic social services--such as primary education and primary health care--and on basic infrastructural services--such as safe water and sanitation--are common examples. Another is targeting rural development activities.

The second approach, narrow targeting, targets benefits to specific individuals or families explicitly identified as poor. Examples include food-based schemes such as food stamp schemes targeted to poor mothers; cash transfers such as family allowances and means-tested social assistance; micro-credit schemes targeted to rural landless women; public employment schemes and poor area development programs focused on poor geographical areas.

Public Revenue

Public revenue is that branch of public finance where we study about how government derives its revenue. Government has to spend on various heads so as to increase economic welfare, and to spend, the government requires generating revenue. The various sources of public revenue come from taxation, fee, sale of goods and services, fines, gifts and grants, and government properties.

Taxation: Taxation constitutes the most important source of revenue for the government. A tax is a compulsory contribution from the person to the government to defray the expenses incurred in the common interests of all, without reference of special benefits conferred.

Fee: The term fee refers to that compulsory payment which is made by those citizens who receive special benefits from the services rendered by the government. In other words, the fee is charged from the citizens in return for certain special services rendered by the government. It should, however, be remembered that the fee is not paid by all the citizens of the country. There are three differences between a tax and a fee. They are:

Sale of Goods and Services: Modern governments sell various types of commercial and services to the citizens. They charge prices from the citizens in exchange for the goods and services sold to them. The price is, therefore, a payment made by the citizens to the government for the goods and services sold to them. It should, however be remembered that the price is paid only by those citizens who make use of certain specific services rendered by the government. There is thus, a definite relationship between the price paid and the benefit received by the citizens. The price is, generally, fixed in accordance with the magnitude of benefit received by the citizens. The difference between fee and price is, that, fee is a payment made for non-economic activities while price is the payment made by the citizens in exchange for economic services rendered by the government.

Fines: The government also imposes fines from time to time on those persons who violate the laws of the country. The object of the imposition of fines is not to earn income but to discourage the citizens from violating the laws framed by the government. Of course, the income from this source is very small.

Gifts and grants: Sometimes, the government may also earn some income in the form of gifts offered by it by the citizens. But the amount of this income is limited. In fact, it cannot be considered a major source of income of a modern government. Further, the government of a country may receive grants from foreign governments for general or specific purposes. Foreign aid, for example has become in recent years an important source of finance for an underdeveloped country.

Government properties: Modern governments also earn some income from properties owned by them. For example, the royalty from mine and oilfields, the revenue from forests, proceeds from privatization, and the income from land lease can be included in this category.

Public Debt

Budget Deficit and Public Debt

- *Budget deficit* is the excess of government expenditure over government revenue. It is the opposite situation to a fiscal surplus, which is the excess of government revenue over government expenditure. Deficits can be reduced by cutting spending or increasing revenue.
- *Government debt* (also known as public debt or national debt) is money (or credit) owed by any level of government; either central government, federal government, municipal government or local government. It is the total accumulated debt; it is the sum of all the annual deficits less any surpluses.
- As the government represents the people, government debt can be seen as an indirect debt of the taxpayers. The government borrows from various government trust funds, including Social Security, and the public, including individuals, corporations, state, local and foreign governments, and the central bank.
- Governments usually borrow by issuing securities such as government bonds and treasury bills. Less credit worthy countries sometimes borrow directly from commercial banks or international financial institutions.

Classification of Government Debt

Based on from whom the money is borrowed

- Internal debt: owed to lenders within the country,
- External debt: owed to foreign lenders.

Based on Duration

- Short term debt: is generally considered to be paid within one year or less
- Medium term debt: is generally considered to be paid within one to ten years.
- Long term debt: is generally considered to be paid after ten years

Based on Component

- Gross public debt: the total borrowing from government and non-government entities.
- Net public debt: the total borrowing less borrowing from government's own entities.

Measuring Public Debt

- Absolute measure: the total amount of debt
- Relative measure (per GDP, per total expenditure, per total revenue, etc)

Financing Budget Deficit

Budget deficit can be financed in four basic ways:

- Printing money;
- Running down foreign exchange reserves;
- Borrowing abroad; and
- Borrowing domestically

Effects of Public Debt

Each of the above mechanisms could lead to at least one potential problem:

- printing money acts like a tax, but the associated inflation exacts a heavy toll on social cohesion;
- Drawing foreign exchange reserves could lead to a balance-of-payment crisis;
- Borrowing abroad could precipitate a foreign debt crisis; and
- Domestic borrowing might crowd-out private investment by raising interest rates.

There is, however, no optimal composition of deficit financing. The latter is a complex issue which requires detailed assessment and careful tailoring on a case by case basis.

Does The Debt Impose a Burden on Future Generation?

Why are deficits viewed so negatively in political and economic discussions? The most often cited concern with deficits is that future generations of taxpayers will have to pay the interest and principal created by today's deficits. Thus, not covering the costs of current government spending with current taxes imposes an extra tax burden on future taxpayers. In another word large government borrowing now means that future generations will pay more of their tax birrs to the government's creditors (in the form of interest and principal payment) and less for health, education, and defense. Public debt is thus believed to be a transfer of burden to the future generation when the creditors (the holders of government bonds) are foreign entities and/or the amount borrowed is used for current government consumptions. Public debt is not necessarily a bad thing, however. If a country is capital poor, it has no choice but to raise the capital it needs for its development from foreign sources. Borrowing allows growth to occur when it is invested in productive capital. If the borrowed funds are used properly and as a result the productivity of future generations is enhanced, the future generation may not mind paying them back.

Can the Government Go Bankrupt?

When one business borrows more it will face bankruptcy risk. As it borrows more it may fail to pay its debts when due and may go bankrupt. Unlike businesses, however, government cannot go bankrupt. There are reasons why it cannot. First, the government has the power to tax, which businesses and individuals do not have when they are in debt. Second, the government does not need to raise taxes to pay back the debt, and it can borrow more (i.e., sell new bonds) or print money to refinance bonds when they mature. Therefore, as long as the government has the ability to tax, to borrow, and print money (through the central bank, of course) it cannot go bankrupt.

1.3. Economic Functions of modern government

It was only in the 20th century and particularly after Keynes demonstrated the necessity of state interference for stabilizing an economy and to bring about full employment that the full importance of fiscal operations of tax, public expenditure and public debt policy was appreciated. The social economic consequences of fiscal operations are quite elaborately explained in detail in later chapters- effects of taxation, effects of public expenditure, effects of public debt and public debt management and fiscal policy and economic development. We should know the role of the government to enable us to appreciate the importance of government sector. Government of a modern state generally undertakes the following functions:

1.3.1. Allocation Function:

The government operations basically involve the efficient provision of government funds in maximizing the welfare of the community. The government taxes the public and uses the amount in providing certain facilities and services considered essential by the by the people and the community. These facilities are such that they could not be provided by the people themselves such as defense, or they could be provided but only at a high cost such as education and Medicare. Fiscal operations of taxation and public expenditure have the effect of transferring resources form the public which would have been used for consuming private goods to produce public goods which would satisfy collective wants. The objective of fiscal operations is to provide for the proper allocation of resources between private and public goods so as to maximize social welfare.

1.3.2. Distribution function:

In a free enterprise economy, distribution of income and wealth is unequal and many times it is grossly unequal resulting in exploitation of the lower income gropes. Inequality of income and concentration of economic power in the hands of a few are responsible for distorting production in favor of the rich and for reducing the social welfare of the community. Fiscal operations have been used to reduce the incomes and wealth of the rich (through progressive taxation) and using the money collected to raise the income and standard of living of the lower

income group (through public expenditure}. The use of fiscal policy to reduce inequality of incomes and wealth has been quite common in many countries.

1.3.3. Stabilization Function:

Modern economies are subject to fluctuations, viz., business boom and inflations on one side and business recessions and depressions on the other. Such fluctuations are not in the interest of the country. Fiscal operations have been used to moderate these fluctuations and if possible to eliminate them altogether. For instance, business booms and inflations are sought to be controlled through heavier taxation while business recession is sought to be checked through public expenditure.

Functions of modern governments are broadening due to socio-political reasons. Therefore, to discharge these increasing functions, the government has to increase its expenditure. To meet out the enormous amount of expenditure it has to mobilize funds with the help of public finance policy. Hence public finance has developed into an important branch of economics.

1.4. Private vs. public goods

1.4.1 Private Goods

Private goods refer to all those goods and services, which are consumed by people to satisfy their personal and private wants or needs. They relate to articles of food, clothing, shelter, recreation, transportation, communication etc. These goods are priced in the market on the basis of their cost of production on the one side and the nature of demand on the other. All those who want them and are willing to pay the market price will buy them. Those who do not want them or who are not in a position to pay for them will be excluded from the consumption of these goods. In other words there is no compulsion that every one will have to buy them. Thus distribution of these goods is based on effective demand and market price. As a result, only those who do demand the private goods will pay for their cost of production on a voluntary basis. Thus, private goods are divisible in the sense that price mechanism divides people in to two groups, viz., those who want to consume them and those do not; and private goods are subject to the principle of exclusion; in the sense that price mechanism excludes the group of people who are not willing to consume a particular good.

But price mechanism or market mechanism may fail when ever private goods are associated with the concept of externalities. Now, externalities refer to favorable and unfavorable effects which are associated with the production of those goods. The setting up of a factory in a backward region will help to open up the former and help to develop it; this is an example of an externality in the form of an economic gain. On the other hand, an atmospheric and water pollution of a chemical and fertilizer factory in an area is an example of unfavorable economic effect. The externalities are also referred to as spill over effects, neighborhood effects or third party effects.

The economic gain or economic loss associated with externalities can not always be priced in the market and can not be apportioned to particular parties. For example, it is not possible to find out exactly how much is the benefit of a new factory set up in a backward region or the exact extent of economic loss due to ash and smoke nuisance of a thermal power station using coal. These are examples of non- market external effects. In case, external effects, favorable or unfavorable, can precisely be calculated, in terms of money, and can be made part of the cost of production; then they can be passed on to those who get those external efforts – this will be the case of market external efforts.

1.4.2. Public Goods:

Collective wants are those which are demanded by all members of the community in equal or more or less equal measures. Defense, education, public health, infrastructure facilities like power, transportation and communication, etc., are examples of collective wants. Goods and services produced to satisfy collective wants are known as public goods. These goods are produced and supplied by the society to meet its collective wants for increasing social welfare. These goods are supplied by the country to all its citizens. But the degree of benefit a person derives will depend upon the use he can put it to. For example medical and educational facilities are made available for all the people of Ethiopia.

It is important to recognize two features of public goods. First, they can not be divided and their benefits can not be shared between the people on the basis of each man's requirements. In other words, unlike private goods, public goods are not divisible but have to be collectively consumed. If public goods are made available to meet collective wants, the question is: who will pay for them or in what proportion they will bear the cost of production of these goods and services.

Secondly the principle of exclusion easily associated with private goods is not applicable in the case of public goods since they are not consumed distributively. Hence these goods will not be produced by the private sector. On the other hand, they will have to be produced and supplied by the public authorities to meet collective wants. The price mechanism does not apply and these goods can not carry a price tag. As everyone is a beneficiary - directly or indirectly of the public goods, everyone is asked by the public sector authorities to pay towards the cost of production of the public goods. No one can refuse to pay for the supply of public goods on the ground that they are direct beneficiaries. For example, an abiding citizen can not refuse to pay towards the maintenance of police or a childless can not refuse to pay towards the expenditure on education on the plea they do not benefit by them.

Actually, everybody wants to enjoy the benefits of public goods be they defense goods, law and order, education etc., but no one wants to pay for them. At the same time, the consumers do not have any system of priority in the case of public goods. Again the taste, preferences etc., of

consumers are not relevant and the public authorities do not attach any importance to the consumers while producing and supplying public goods. As the people too may not show any interest or any inclination in the production of these goods, the government has the sole responsibility to decide about how much of these goods should be produced, the method of production and the technique of distribution.

Since the public goods are supplied to all the people irrespective of their ability and willingness to pay for them, the pricing system is useless and therefore, a method of compulsory payment will have to be designed to finance their cost of production.

1.5. Public finance Vs Private finance

There are both similarities and differences between public finance and private finance. Let us discuss the similarities first.

1.5.1. Similarities between Public Finance and Private Finance:

1. Satisfaction of Human Wants: Individual is concerned with the personal wants, while the Government is concerned with the social wants. Thus, both the private and public finance have the same objective, viz, the satisfaction of human wants.

2. Balancing of Income and Expenditure: Both individual and Government have incomes and expenditures and try to balance each other.

3. Maximum Satisfaction: Both private and public finance aim at maximum satisfaction.

4. Borrowing a Common Feature: As and when the current incomes become insufficient to meet the current expenditure, the individuals and Governments rely upon borrowings. Both of them are having loan repayment plans.

5. Economic Choice a Common Problem: Both the individual and Government face the problem of economic choice. That is their sources of revenue are limited, comparing with their expenditure. Hence they have to satisfy the unlimited ends with limited means.

1.5.2. Dissimilarities between Public Finance and Private Finance

Even though the private and public finances look alike, there are certain fundamental differences between them. They are,

1. Adjustment of Income and Expenditure:

In private finance, the individual first considers his income and then decides about his expenditure.

But the case of public finance, the government first estimates the volume of expenditure and then tries to find out the methods of raising the necessary income

That is the private finance tries to adjust its income to expenditure, whereas the public finance tries to meet the expenditure by raising income.

2. Nature of Benefit:

The private finance aims at individual benefit i.e. the benefit of individual household.

But the public finance aims at collective benefit, i.e. the benefit of the nation as a whole.

3. Postponement of Expenditure:

In private finance, the individual can postpone or even avoid certain expenditure, as he likes.

But in the case of public finance, the Government cannot avoid certain commitments like social welfare measures and thus cannot postpone the certain expenses like relief measures, defense, etc.

4. Allocation of Resources:

In private finance the individual can allocate or distribute his income to various expenditure in such a way to get the maximum satisfaction.

But it is not possible in the case of public finance; Government cannot aim at maximum satisfaction on the expenditures made.'

5. Motive of expenditure:

In the case of private finance, the individual expects return in benefit from the expenditure made.

But the government cannot expect return in benefit from various expenditures made.

That is profit or benefit is the motive of private finance whereas the social welfare and economic development is the motive of public finance.

6. Influence on expenditure:

The expenditure pattern of private finance is influenced by various factors such as customs, habits culture religion, business conditions etc.

But the pattern of expenditure of public finance is influenced and controlled by the economic policy of the Government.

7. Nature of Perspective:

In private finance, the individual strives for immediate and quick return. Since his life span is definite and limited he gives importance to the present or current needs and allots only a little portion of income for the future.

But, the Government is a permanent organization and is the caretaker of the present and the future as well. Thus, the Government allots a considerable amount of its income for the promotion of future interests.

That is private finance has a short-term perspective whereas the public finance has a long term perspective.

8. Nature of Budget:

In private finance individuals prefer surplus budget as virtue and a deficit budget is undesirable to them.

But the Government does not prefer a surplus budget. If the Government brings surplus budget, it will create negative opinion on the Government. This is because surplus budget is the result of high level of taxation or low level of public expenditure both of which may affect the Government adversely.

9. Nature of resources:

In private finance the individuals have limited resources. They cannot raise the income, as they like. They do not have the power to issue paper currencies.

But, in the case of public finance the Government has enormous kinds of resources. Besides the administrative and commercial revenues the Government can get grants-in-aid and borrow from other countries. The government can print currency notes to increase its revenue.

10. Coercion:

Under private finance the individuals and business units cannot use force to get their income.

But, in public finance the governments can use force in the form of imposing taxes to get income i.e. taxes are compulsory in nature. It is an obligation on the part of the tax payer. No one can refuse to pay taxes if he is liable to pay them. Besides the above the Government can undertake any of the existing private business by way of nationalization, which is not possible in the hands of individuals.

11. Publicity:

Individuals do not like to disclose their financial transactions to others. They want to keep them secret.

But, the Government gives the greatest publicity to its budget proposals and the allocation of resources to different heads. It is widely discussed. Publicity strengthens the confidence of the people in the Government.

12. Audit:

In the case of private finance, auditing of the financial transactions of the individuals is not always necessary. But the accounts of the public authorities are subject to audit and inspection.

1.6. What role should the state play in a market economy?

The ongoing debate

Although it is generally agreed there is a need for **government** in any economy its **roles are** however **controversial**. Views of how government should function in the economy spheres are generally influenced by the general attitudes concerning the relationship between the individual and the state.

Accepting the neoclassic assumption of the naturalness, spontaneity, and efficacy of market, and public choice theorists' thesis of the state, **some economists suggest that the role of the state should be restricted to providing defense, defining property rights, enacting and implementing a system of laws, enforcing contracts, and maintaining the value of the currency**. They believe that if the government leaves economic actors alone, unfettered **competitive markets would work better** in generating socially desirable outcomes.

The main argument forwarded in support of this are:

- (I) the principal human motive is self-interest.
- (II) the invisible hand of competition automatically transforms the self-interest of many into the common good.
- (III) therefore, the best government policy for the growth of a nation's wealth is that policy which governs least.

Proponents of laissez-faire place their faith in the market, which maintain that the provision of goods and services in society ought to be done, by and large, by private buyers and sellers acting in competition with each other.

One can see the spirit of such perspectives in economic policies involving deregulation, tax reduction, denationalizing industries, and reduction in government growth in western countries; and in the deliberate restoration of private markets in China, the former Soviet Union, and other eastern European countries.

Others however would argue that the state should play an active role in a market economy. The argument is built upon three observations.

- I. First, state interventions are indispensable for remedying market irrationalities and for organizing efficient markets.

- II. Second, market institutions cannot be properly installed without the support of the state.
- III. Third, there are many challenges, which cannot be settled through voluntary transactions.

The opponents of laissez-faire, which used to be called mercantilists and by now called industrial policy advocates, believe that:

- I. economic planning is superior to laissez-faire;
- II. markets are often monopolized in the absence of government intervention, crippling the invisible hand of competition;
- III. even if markets are competitive, the existence of external effects, public goods, information asymmetries and other market failures ensure that laissez-faire will not bring about the common good;
- IV. and in any case, laissez-faire may produce an intolerable degree of inequality.

Despite the ideological difference between purely command economy and private economy there is no single nation, which could strictly be categorized in either of the extremes. Today it is Cuba and North Korea in which most of the activities are undertaken by the government.

Most of the economics around the world are in reality are mixed economies, including the US America which is acclaimed to be a statue of purely capitalist system. In mixed economies many of the activities are undertaken by private firms and very few are by government.

The main role of the government is then to alter the behaviors of the private sector through a variety of regulations, taxes and subsidies. It is then such a view of government that will be emphasized through this course.

1.7. Market Failure and the Need for Government Intervention

Many believe that governments are needed primarily to provide goods that market economy doesn't provide and to provide public goods. Market failure establishes the basis for government intervention. Market failure is a situation when markets are not able to provide enough of a particular socially desirable good. The market mechanism may fail to provide the optimal mix of output.

Sources of Market Failure

There are five specific sources of market failure:

- A. Public goods
- B. Externalities
- C. Market power(Monopoly)

- D. Equity considerations
- E. Inadequate information

A. Public Goods

Classifying Goods and Resources

- *Excludable versus Nonexcludable*

A good, service, or resource is **excludable** if it is possible to prevent someone from enjoying its benefits. A good, service, or resource is **nonexcludable** if it is impossible to prevent a person from enjoying its benefits.

- *Rival versus Nonrival*

A good, service, or resource is **rival** if its consumption by one person decreases its consumption by other people. A good, service, or resource is **nonrival** if its consumption by one person does not decrease its consumption by other people.

- *A Four-Fold Classification*

- A **private good** is a good or service that can be consumed by only one person at a time and only by those people who have bought it or own it. Pure private goods are rival and excludable. Food and drink are examples.
- A **public good** is a good or service that can be consumed simultaneously by everyone and from which no one can be excluded. Pure public goods are nonrival and nonexcludable. National defense is an example.
- A **common resource** is a resource that is nonexcludable and rival—can be used only once but no one can be prevented from using what is available. Fish in the ocean are an example.
- A **natural monopoly** is a situation in which one firm can produce at a lower cost than two or more firms can. A natural monopoly is nonrival but excludable. The Internet is an example.

Public Goods and the Free-Rider Problem

A **free rider** is a person who enjoys the benefits of a good or service without paying for it. Because no one can be excluded from consuming a public good, public goods create a free-rider problem. As a result, public goods will not be provided by a private firm. If a private firm decided to provide a public good, free riders would consume the good without paying for it and the firm would earn no revenue. The firm could not stay in business providing the public good. Therefore, government is required to intervene in the economy to provide public goods.

B. Externalities

- **What is Externality?**

Externality is any valued impact (cost or benefit) resulting from any action that affects someone who did not fully consent to it. It is the spill over of an individual's action that results in a cost or benefit to others. Externalities are costs (or benefits) of a market activity borne by a third party. Externality can be positive or negative. Positive externality results in benefit while negative externality results in cost.

- **Social Vs Private Costs**

Social costs are the full resource costs of an economic activity, including externalities while private costs are the costs of an economic activity directly borne by the immediate producer or consumer (excluding externalities). External costs are the difference between social and private costs.

- **Market Vs Social Demand**

Market demand expresses only the anticipated private benefits of consumption. Social demand includes not only private benefits but also accounts for any externalities. Thus, social demand is equal to market demand plus externalities. If the externality is a negative, the activity reflects external costs. Whenever external costs exist, market demand exceeds social demand. As a result, when external cost exists, firms will produce more of the good than is socially desirable (it results in overproduction). If the externality is positive, the activity reflects external benefit. Whenever external benefits exist, social demand exceeds market demand. As a result, when external benefit exists, firms will produce less of the good than is socially desirable (it results in underproduction).

- **How to Correct Externalities**

- Bargaining (Coase Theorem)
- Legal System
- Tax
- Regulation
- Subsidy
- Market for Externality Rights

Bargaining (Coase Theorem)

One approach to reducing the externality or misallocation problem is the market approach of individual bargaining. The Coase theorem, named after Nobel prize-winning economist Ronald Coase, suggests that spillover costs and benefits will not occur and government intervention is not necessary when property rights are clearly defined, the number of people involved is small, and bargaining costs are negligible. Government's role should be to encourage bargaining wherever possible, rather than to get involved in direct restrictions or subsidies.

To illustrate, suppose that the owner of a forest wants to contract with a logging company to clear-cut his land. The land surrounds a lake with a nationally known resort, which depends on the beauty of the forest for its success. Should the government intervene to settle the dispute? The Coase theorem would assign property rights over the issue and let both parties negotiate a solution. Since the forest owner has the right over the trees, the resort should negotiate to

reduce the logging impact because it has economic incentive to do so. The resort owner should be willing to pay the forest owner to avoid or minimize the spillover cost.

The Coase theorem argues that it doesn't matter which party is assigned the property rights. If the resort owner had been assigned the right to prevent logging, the forest owner would have to negotiate and pay the resort owner for the right to cut the forest. Both parties would have an economic incentive to eliminate the externality in this situation also. Limitations exist with the Coase theorem, because many problems involving externalities affect many people and bargaining is too costly and inefficient to accomplish solutions effectively.

Legal System

A second approach is by the assignment of liability through lawsuits. If one property owner damages another, a private lawsuit may settle the dispute by assessing damage liability on the violator. Once again, however, this solution is limited to cases in which the damaged parties can afford to initiate the suit, or in the case of many people, can organize to sue.

Tax

A third approach is to apply taxes to reduce negative externalities or spillover costs. Specific taxes can be levied on the activity that causes negative externality, like polluters and smokers. The tax payment will increase costs to the polluter or smoker, and thus discourage excess production.

Regulation

A fourth approach is to apply direct government controls to reduce negative externalities or spillover costs. Direct controls place limits on the amount of the offensive activity that can occur. Clean air and water legislation are examples. The effect is to force the offenders to incur costs associated with pollution control. This reduces the production quantity. Therefore, it reduces the resource allocation in a socially optimal way.

Subsidy

A fifth approach is to provide subsidies or government provision where spillover benefits exist. Subsidies by the government involve three options.

- a. Buyers may be subsidized. For example, new parents may be given coupons to receive inoculations at reduced prices for their children. This would increase the number of vaccinations and eliminate the underallocation of resources.
- b. Producers could be subsidized so that producers' costs are reduced, thus increasing equilibrium output, and eliminating the underallocation.
- c. The government could provide the product as a public good where spillover benefits are extremely large. An example would be administering free vaccines to all children in Ethiopia to end smallpox.

Market for Externality Rights

A sixth corrective approach is the development of markets for externality rights. This is the latest policy innovation for dealing with pollution abatement. Pollution-control agency decides the acceptable amount of pollution in a particular region and creates rights that firms can purchase to allow them to pollute. Each right will allow a certain amount of pollution. At high prices, polluters will either stop polluting or pollute less by acquiring pollution-abatement equipment, which is more attractive when the rights are more expensive.

There are several advantages to this system. First, it reduces society's costs because pollution rights can be bought and sold. Some firms will find it cheaper to buy the rights than to acquire abatement equipment; other firms can sell their rights because they may be able to reduce pollution at a lower cost; in both situations, the firms reduce their cost below what the cost would have been under direct controls. Second, conservation groups as well as producers can buy rights. If conservation groups are unhappy with the existing amount of pollution, they can acquire pollution rights and hold them. Third, the revenue from the sale of pollution rights could be used to improve the environment. Forth, the rising cost of pollution rights should lead to improved pollution-control techniques.

C. Market Power (Monopoly)

Market power is the ability of a firm to alter the market price of a good or service. The direct consequence of market power is that one or more firms attain discretionary power over the market's response to price signals. A market power may result from restricted supply such as copyrights, patents, control of an essential resource, restrictive production agreements, and economies of scale. Government is required to prevent or dismantle concentrations of market power. Antitrust is government intervention to alter market structure or prevent abuse of market power.

D. Equity

Equity concerns the "For Whom" question. Is the distribution of goods and services generated by the free market fair? Government intervention may be needed to redistribute income if the market fails to reflect our notions of fairness. To offset unequal income distribution, governments intervene in two ways: Transfer payments and differential tax rates

- A **transfer payment** is money given to someone by a government for which it receives nothing in return. In most developed countries most transfers are cash grants, including unemployment compensation, subsidies to farmers, and welfare payments even if transfer payments also include in-kind payments (goods and services), such as medical service, food, housing, and home repairs.

- Another way to redistribute income is to have low-income people pay less money in taxes than richer people (for a given level of government services). Essentially, richer people pay part of the tax bill of the poor, leaving the poor with more money to spend.

E. Inadequate Information

Information failures are another form of market failure. Buyers or sellers may have incomplete or inaccurate information about the transaction and the cost of obtaining better information may be prohibitive. To illustrate inadequate information about sellers, assume that the gasoline market exists in an absurd situation in which there is no system of weights and measures established by law. In such a world, the gas station could advertise high-octane gas that was actually low-octane gas; pumps could register more gallons than were actually being pumped. Without government regulation, one could imagine some incentive for some stations to cheat in such ways. Government intervenes in such markets to prevent such cases of market failure. This provides reliable information to buyers and also helps sellers through enforcement of fair sales practices. Licensing of surgeons is another example in which the consumer would find it difficult to gather information about a physician's expertise without government licensing standards. Such standards set minimum standards for competence. There will still be physicians of varying abilities, but the consumer can be confident that basic standards were met.

Inadequate information about buyers may also lead to two potential problems for sellers. These are moral hazard and adverse selection. The moral hazard problem occurs when there is a tendency of one party to a contract to alter his/her behavior in ways that are costly to the other party. Examples include the driver who behaves more recklessly after obtaining insurance; unemployment compensation insurance, which may discourage incentives to work. The adverse selection problem arises when information known by the first party to a contract is unknown to the second and, as a result, the second party incurs major costs. Examples include those in poor health who take out health insurance, the person planning a fire-starting attempt who takes out fire insurance, and the person whose marriage is failing who takes out "divorce" insurance. In areas where insurance is traditionally underprovided, the government has provided insurance or subsidized insurance.

To mitigate inadequate information problem government may directly provide information or government policies may mandate that firms provide information. There are also private methods of overcoming lack of information problems. Product warranties overcome lack of information about the seller or product. Firms may also specialize in providing information to buyers and sellers; consumer reports, travel guides, and credit-checking agencies are some examples.

1.8. Government and revenue raising mechanisms

For as long as governments have existed and performed various activities, they have had to come up with ways to finance the above mentioned activities. Generally there are four ways of financing government can resort to. These are, namely, Sell of the goods or services, Borrowing, Printing of paper money, Taxation.

A). Sale of goods or services

To a limited extent, governments sell the services produced to the users and thus finance the production of the services in the same manner as does the private enterprise. The costs of various licensing activities and a portion of the costs of operations of the courts are financed by the charging of fees.

The postal services, publicly produced electric, water, and transit services, toll bridges are financed by charges made against the users. Governments also obtain revenue from the sale of land and royalties from the lease of mineral rights on public land. In most instances, however, *either government services are of such a character that they can not be sold to the users or the sales basis is considered contrary to accepted standard of equity.*

B). Borrowing

The second method, in sense a provisional or temporary source, is the borrowing of money. Just as individuals or business firms may borrow in anticipation of revenues, so many governments. It is ordinarily presumed that the money borrowed will eventually be repaid from other sources, although, in practice, this may not always be the case. Sovereign governments may repudiate their debt, or they may continue indefinitely to refund maturing debt by the sale of new issues. However private borrowers may follow comparable procedures. While they can not cancel debt, they may become unable to pay and go through bankruptcy proceedings, or they may re borrow to repay maturing obligations

C). Printing paper money

Government may resort to the printing of paper money as a means of paying their bills. Governments, unlike individuals have the power to create money and give it legal tender qualities, a sovereign right of governments in the same manner as the power to tax. This method is not substantially different from borrowing of money from the central bank system. The printing of paper money is normally avoided as a source of revenue because its use is too easily abused. Once this method of financing is started, it is difficult to stop, and runaway inflation can easily result.

D). Taxation

Taxation is the most common method of financing government activities. The services themselves are provided to the community without charge, and the necessary funds are collected by requiring persons to *make compulsory payments to the government in accordance with some established criterion, such as property owned or income received*.

The payment of the tax does not in itself enable the taxpayer to receive any governmental services to which he would not otherwise be eligible. The basic distinction between taxes and the other sources of government revenues is the compulsory elements involved: the individual has no choices in the matter if he is eligible for payment on the basis of the standards established.

Chapter Two

Meaning and Characteristics of Taxation

2.1. Tax defined

A tax is "a compulsory charge imposed by the Government without any expectation of direct return in benefit".

In other words, a tax is a compulsory payment or contribution by the people to the Government for which there is no direct return to the taxpayers. Tax imposes a personal obligation on the people to pay the tax if they are liable to pay it. The general public should be taxed according to their ability to pay, and the people in the same financial position should be taxed in the same way without any discrimination.

Thus, tax can be defined as, "an involuntary fee or more precisely, "unrequited payment", paid by individuals or businesses to a government (central or local)". Taxes may be paid in cash or kind (although payments in kind may not always be allowed or classified as taxes in all systems). The means of taxation, and the uses to which the funds raised through taxation should be put, are a matter of hot dispute in politics and economics, so discussions of taxation are frequently tendentious.

A good tax system should not affect the ability and willingness of the people to work, save and invest. If not, it will affect the development of trade and industry and the economy as a whole. Thus, a sound tax system should contribute in the economic development of a country.

Hence, "taxation should not be like killing the goose that lays golden eggs".

2.2. General Characteristics of Tax

A tax has the following characteristics:

- **Tax is a Compulsory Contribution:** Tax is a compulsory contribution by the taxpayers to the Government. The people whom the tax is levied cannot refuse to pay the tax. Once it is levied they have to pay it. Any refusal in this regard leads to punishments.
- **Benefit is not the Basic Condition:** For the payment of tax, there is no direct return or *quid proquo* to the taxpayers. That is, people cannot expect any return in benefit for the amount of tax paid by them for since there is no relation between the amount of tax paid by the people and the services rendered by the Government to the taxpayers.
- **Personal Obligation:** Tax imposes a personal obligation on the taxpayers. When a person becomes liable to pay the tax, it is the duty of him to pay it and in no way he can escape from it.
- **Common Interest:** The amount of tax received from the people is used for the general and common benefit of the people as a whole. Now the Government has to render enormous range of social activities, which incur heavy expenditure. A part of the expense is sought to be raised through taxation of various types. Thus, taxes are said to be the sharing of common burden by the people.
- **Legal Collection:** Tax is the legal collection. It can be levied only by the Government both Central and State.
- **Element of Sacrifice:** Since the tax is paid without any direct return in benefit, it can be said that there is the prevalence of sacrifice in the payment of tax.
- **Regular and Periodical Payment:** The payment of tax is regular and periodical in nature. It is levied for a fixed period usually a year. Thus, almost all the taxes are annual taxes. The payment of taxes should be regular also.
- **No Discrimination:** Tax is levied on all people without any discrimination of caste, creed etc. but according to their ability to pay.
- **Wide Scope:** Tax is levied not only on income but also on expenditure and capital. To enhance the revenue and to bring all the people under the tax net, the Government imposes various kinds of taxes. This enhances the scope of taxes.

2.3. Structure of Taxation

Generally speaking the structure of taxation may be centralized or decentralized

Centralized *tax structure* is applied in the country where the tax system is uniform through out the country.

Decentralized *tax structure* is applied in the country where system of tax is not uniform throughout the country.

In Ethiopia except that of agricultural income (activities) the taxation structure is centralized system. The federal Inland Revenue authority based on the proclamation and regulation issued has the ultimate power of administering and collecting tax

But for some tax proclamations like the rural land use fee and certain agricultural activities incomes the regional states and city administration tax authorities have power and responsibility.

2.4. Objectives of Taxation

Tax objectives are goals that are expected to be achieved through the taxation system. It must be remembered that a number of *these objectives can be contradictory and the tax system would have to include diverse taxes with their coverage and rate differentials so as to achieve the best possible results.* Tax objectives are intimately connected with overall economic and non-economic policies of the government, fiscal policy, institutional and other circumstances faced by the economy. As a result the objectives of a tax system in a developed country tend to differ significantly from those in an underdeveloped country.

The following are generally considered to be objective of taxations.

- **Raising Revenue:** The basic purpose of taxation is raising revenue. To render various economic and social activities, Government requires large amount of revenue. To meet this enormous expenditure, Government imposes various types of taxes in addition to the non-tax revenue.
- **Removal of Inequalities in Income and Wealth:** The welfare state aims at the removal of inequalities in income and wealth. By framing suitable tax policy, this end can be achieved. It is stressed in the Canon of Equality. In Ethiopia, the progressive taxation on income is the suitable examples in this regard.
- **Ensuring Economic Stability:** Taxation affects the general level of consumption and production. Hence, it can be used as an effective tool for achieving economic stability. That is, by means of taxation the effects of trade cycle i.e. inflation and deflation can be controlled. During the period of boom or inflation, the excess purchasing power in the hands of people leads to rise in the price level. Raising the existing tax rates or imposing additional taxes can remove such excess purchasing power. Then the abnormal demand will be reduced and the economic stability can be achieved. At the same time, by providing grants, tax exemptions and concessions, production can be encouraged thereby inflation is controlled.

Likewise, during the period of depression or deflation, the role of tax policy in the economy is important. Reduction in the existing tax rates and removal of certain taxes, consumption can be induced which in turn results in increasing demand. This encourages business activities, and the economic growth can be achieved.

Thus, through properly devised tax system, the economic stability can be achieved by controlling the effects of trade cycle.

- **Reduction in Regional Imbalances:** It is normal that certain parts of the country are well developed, whereas some other parts or states are in backward conditions. To remove these regional imbalances, the Government can use tax measures. By way of announcing various tax exemptions and concessions to that particular backward regions or states, the economic activities in those areas can be induced and accelerated.
- **Capital Accumulation:** Tax concessions or rebates given for savings or investment in provident funds, life insurance, unit trusts, housing banks, post offices banks, investment in shares and debentures of certain companies etc. lead to large amount of capital accumulation which is essential for the promotion of industrial development.
- **Creation of Employment Opportunities:** More employment opportunities can be created by giving tax concessions or exemptions to small entrepreneurs and to the industries adopting labor-intensive techniques. In this way, unemployment problem can be solved to certain extent.
- **Preventing Harmful Consumption:** Taxation can be used to prevent harmful consumption. By way of imposing heavy excise duties on the commodities like liquors, cigars etc. the consumption of such articles is reduced to a considerable extent.
- **Beneficial Diversion of Resources:** The imposition of heavy duties on non-essential and luxury goods discourages the producers of such goods. The resources utilized for the production of these goods may be diverted into the production of other essential goods for which various tax concessions are given. This is called as beneficial diversion.
- **Encouragement of Exports:** Now-a-days export oriented industries are encouraged by way of providing various exemptions like 100% relief from income tax, free trade zones etc. It results in the large earnings of foreign exchange.
- **Enhancement of Standard of Living:** By way of giving various tax concessions to certain essential goods, the Government enhances the standard of living of people.

2.5. Principles of Taxation/ Canons of Taxation

The Government requires funds for the performance of its various functions. These funds are raised through tax and non-tax sources of revenue. Imposing tax on income, property and commodities etc. raises tax revenues. In fact, tax is the major source of revenue to the Government. According to Adam Smith, "a tax is a contribution from citizens for the support of the Government".

No one likes taxes, but they are a necessary evil in any civilized society. Whether we believe in big government or small government, governments must have some resources in order to perform their essential services. So how does one go about evaluating a particular tax?

Taxation is an important instrument for the development of economy of the country. A good tax system ensures maximum social advantage without any hardship on taxpayers. While framing the tax policy, the government should consider not only its financial needs but also taxable capacity of the community. Besides the above, government has to consider some other principles like equality, simplicity, convenience etc.

I. Principles Advocated by Adam Smith

1. Principles of Equality.
2. Principles of Certainty.
3. Principles of Convenience.
4. Principles of Economy.

II. Principles Advocated by Others:

5. Principles of Productivity.
6. Principles of Elasticity.
7. Principles of Diversity.
8. Principles of Simplicity.
9. Principles of Expediency.
10. Principles of Co-ordination.
11. Principles of Neutrality.

We shall now discuss them briefly.

2.5.1. Principles Advocated by Adam Smith:

No one has yet come up with a better set of criteria for judging a tax than the Canons of Taxation first proposed by Adam Smith more than two hundred years ago. Adam Smith in his book, "Wealth of Nations" has explained the four canons of taxation that are mentioned above. All accepts them as good taxation policy. We shall now explain them briefly.

1. Principles of Equality: According to this principle of Adam Smith, "the subjects of every state ought to contribute toward the support of the Government, as nearly as possible, in proportion to their abilities". That is, a good tax system should be based on the ability to pay of the people. That is, all people should bear the public expenditure in proportion to their respective abilities. Tax burden should be more on the rich than on the poor. Since the rich people can pay more for public welfare, more tax should be collected from richer section and less tax from the poor. The ability to pay may be determined either on the basis of income and wealth or on the basis of consumption i.e. luxury or necessity. In simple terms, canon of

equality implies that when ability to pay is taken into consideration, a good tax should distribute the burden of supporting government more or less equally among all those who benefit from government.

2. Principles of Certainty: Another important canon of taxation advocated by Adam Smith is certainty. According to him, "the tax which each individual is bound to pay ought to be certain and not arbitrary. The time of payment, the manner of payment, the quantity to be paid, should be clear and plain to the contributor and every other person". It means the time, amount and method of payment should all be clear and certain so that the taxpayer can adjust his income and expenditures accordingly. This principle removes all uncertainties in the payment of tax and ensures smooth functioning of the tax department.

3. Principles of Convenience: In the canon of convenience, Adam Smith states that, "every tax ought to be levied at the time or in the manner in which it is most likely to be convenient for the contributor to pay it". That is, the tax should be levied and collected in such a way that is convenient to taxpayer. For example, it may be in installments, land revenue may be collected at the time of harvest etc. This principle reduces the tendency of tax evasion considerably.

It includes the selection of suitable objects for taxation, and also the choice of convenient periods for requiring payment. The canon of convenience is a special form of the general principle that the public power should as far as possible adjust its proceedings to the habits of the community, and avoid any efforts at directing the conduct of the citizens in order to facilitate its own operations. The sacrifices that inconvenient methods of fiscal administration impose may indeed be treated as violations of both economy and equity.

4. Principles of Economy: The next important canon of taxation is economy. According to Adam Smith, "every tax ought to be so contrived as both to take out and keep out of the pockets of the people as the little as possible over and above what it brings into the public treasury of the state". This principle states that the minimum possible amount should be spent on tax collection and the maximum part of the collection should be brought to the Government treasury.

Taxation should be economical i.e. this should be much more than mere saving in the cost of collection. Undue outlay on the official machinery of levy is but one part of the loss that taxation may inflict. It is a far greater evil to hinder the normal growth of industry and commerce, and therefore to check the growth of the fund from which future taxation is to come. Thus the canon of 'Economy' is naturally sub-divided into two parts viz.,

1. 'Taxation should be inexpensive in collection', and
2. 'Taxation should retard as little as possible the growth of wealth'.

It may also be remarked that there is a close connection between "Economy" and "Productivity", since the former aids in securing the latter.

2.5.2. Principles Advocated by Others:

Other researchers of taxation at other times have added to Adam Smith's criteria. Some have noted that a tax should be adequate, meaning it should produce sufficient revenue to support whatever it is that citizens want their government to do. Some have argued for a "Benefit Principle" whereby the amount of tax each is called upon to pay bears some relationship to the benefits each taxpayer receives from government. Others have argued that a tax should be neutral in its effect on the way markets work. But Smith's Canons are the starting point for any serious evaluation of a tax. The various canons added by others are explained below:

5. Principles of Productivity: According to C.F. Bastable, the tax system should be productive enough i.e. it should ensure sufficient revenue to the Government and it should encourage productive activity by encouraging the people to work, save and invest.

6. Principles of Elasticity: The next principle advocated by Bastable is elasticity. The taxes should be flexible. It should be levied in such a way to increase or decrease the tax revenue depending upon the need. For example, during certain unforeseen situations like floods, war, famine, and drought etc. the Government needs more amount of revenue. If the tax system is elastic in nature, then the Government can raise adequate funds without any extra cost of collection.

The tax system should be elastic is a desirable canon of taxation. It may, indeed, be regarded as the agency for realizing at once "Productivity" and "Economy". Where the public revenue does not admit of easy expansion or reduction according to the growth or decline of expenditure, there are sure to be financial troubles. For this purpose some important taxes will have to be levied at varying rates. The particular taxes chosen will vary according to circumstances, but the general principle of flexibility should be recognized and adopted.

7. Principles of Diversity: According to this principle, there should be diversity in the tax system of the country. The burden of the tax should be distributed widely on the entire people of the country. The burden of the tax should be decentralized so that every one should pay according to his ability. To achieve this, the Government should impose both direct and indirect taxes of various types. It should not depend upon one or two types of taxes alone.

8. Principles of Simplicity: This principle states that the tax system should be simple, easy and understandable to the common man. If the tax system is complex and vague, the taxpayer cannot estimate his tax liability and it will cause irregularities in the payments and leads to corruption.

9. Principles of Expediency: According to this principle, a tax should be levied after considering all favorable and unfavorable factors from different angles such as economical, political and social.

10. Principles of Co-ordination: In a federal set up like Ethiopia, Federal and State Governments levy taxes. So, there should be a proper co-ordination between different taxes imposed by various authorities. Otherwise, it will affect the people adversely.

11. Principles of Neutrality: This principle stresses that the tax system should not have any adverse effect. That is, it shouldn't create any deflationary or inflationary effects in the economy.

2.6. Types of equity:

There are two kinds of Equity; horizontal and vertical equity.

A) Horizontal equity

This is a treatment of persons in the like circumstances. This means equal treatment of equals that is persons in the same circumstances should be taxed to the same extent. In other words, all individuals with identical income (revenue, ability) are assigned equal and are supposed to carry the same tax burden.

B) Vertical equity

This is a relative treatment of persons in unlike circumstances.

An individual with different economic ability are assigned different tax burden which means the idea that a tax system should distribute the burden fairly across people with different ability to pay. This implies that the person with higher income should pay more in tax than one with less income, but how much more?

2.7. Classification of Taxes

1. Based on the base on which the tax liability is computed

A. Income tax

- Personal Income Tax: tax on income earned by individuals
- Business Income Tax: Tax on profit of businesses
- Payroll Tax: A tax on employment income used to finance social insurance programs that provide benefits to the poor, the elderly, the unemployed, and the disabled

B. Consumption Tax

- Sales Tax
 - Single stage
 - Manufacturing Sales Tax
 - Wholesaler Sales Tax
 - Retailer Sales Tax
 - Multiple Stages
 - Turnover Tax

➤ VAT

- Excise Tax
- Custom Duties

C. Wealth Tax

- **Property Tax:** a tax on real property, such as land, buildings or houses, and machinery. Personal property, such as furniture, vehicles, or jewelry, is largely excluded, as is intangible property, such as money, stocks, bonds, or bank deposits.
- **Gift Tax:** a tax on the value of gifts received by an individual in excess of a certain sum per year and over a certain cumulative amount over a person's lifetime.

D. Death Tax

- **Estate Tax:** tax on the property (including real, personal, and intangible property) left by a person at death
- **Inheritance Tax:** tax on the property (including real, personal, and intangible property) inherited by an individual. Sometimes gift tax and inheritance tax are classified as transfer taxes.

2. Based on Coverage

- Broad-Based Tax (e.g. VAT)
- Narrow-Based Tax (e.g. Excise Tax)

3. Based on the way the tax is computed

- **Ad valorem Tax:** The tax levied on monetary value (salary, profit, etc)
- **Unit Tax:** Tax levied on quantity than monetary values (Kg, Mile, Pack, etc)

4. Based on Rate Structure

- **Progressive Tax:** A tax that imposes a heavier burden on those more able to bear the burden than on those less able to bear it is called progressive tax. When applied to income, which is the most important tax base in developed countries, a progressive tax is one that takes a greater percentage of income from those with higher incomes than from those with lower incomes.
- **Regressive Tax:** It is a tax that imposes a heavier burden on those less able to bear it. Applied to income, it is a tax that takes a greater percentage of income from people with low incomes than from those with high incomes. Some argue that the smaller income earning gets more social benefit so that they should pay more tax than the other.
- **Proportional (Flat) Tax:** It is a tax that imposes the same burden on people or takes the same percentage of each person's income i.e. a tax system in which tax rate does

not vary with the value of tax base in other word it is a tax system where a tax rate remains constant.

Taxable Income	<u>1,000</u>	<u>2,000</u>	<u>3,000</u>	<u>4,000</u>	
Income Tax A	100	200	300	400	– Proportional Tax Structure
Income Tax B	100	300	480	800	– Progressive Tax Structure
Income Tax C	100	160	180	200	– Regressive Tax Structure

- **Lump Sum Tax:** Lump sum tax is a tax which is levied at same amount no matter what an individual does or earn. Under lump sum tax, also called poll tax, there would be no way taxpayers could alter their behavior to avoid the tax. The simplest example of a lump sum tax is a levy of a certain amount that would have to be paid by every individual at the time that the tax was announced. For example, the government could announce that as of today, everyone owes the government a tax payment of birr 1,000, with no exceptions permitted. Because there would be no way to avoid paying the tax, the tax would have no effect on the behavior of people except that they would have to come up with the money to pay the tax.

5. Tax rates

- **Statutory Rate:** The legally imposed rate on taxable income
- **Average Tax Rate:** Total tax divided by total income
- **Effective Tax Rate:** Total tax divided by taxable income
- **Marginal Tax Rate:** The tax rate that is applied on every additional one birr income

6. Based on Shifting Incidence

Direct Tax

Direct taxes are all levied directly on the taxpayer who receives the income. In other words direct tax is a tax whose burden falls directly on the person or thing taxed and cannot be shifted to another person or thing. This category of taxes consists of taxes on individual income, business income, capital gains, wealth or property taxes. Burden or incidence of taxes falls directly on the taxpayer. Income taxes are examples of direct taxes.

Direct taxes have the following merits:

- **Ensures the Principle of Ability to Pay:** Direct taxes are based on the principle of ability to pay. They fall more heavily on the rich than on the poor. The tax burden is distributed on different sections of the society in a just and equitable manner.
- **Reduces the Social and Economical Inequalities:** Direct taxes reduce a disparity in the distribution of income and wealth. By adopting the progressive tax system, rich people pay on higher rates of adopting the progressive tax system, rich people pay on higher rates of taxation, while the poor pay on lower rates or given exemptions. This reduces the gap between the poor and rich to a considerable extent.

- **Certainty:** Direct taxes satisfy the canon of certainty. In direct taxes, the time of payment, mode of payment, the amount to be paid etc. are made clear. Both the taxpayers and the Government know the amounts to be paid and the Government can estimate the revenue from these taxes.
- **Economy:** The cost of collection of these taxes is low because the government adopts the different methods of collections like tax deduction at source, advance payment of tax etc. Besides, the taxpayers pay the amount of tax directly to government. Thus, the principle of economy is achieved in the case of direct taxes.
- **Elasticity:** Direct taxes are elastic in nature. For example, when the income of the people increases, the tax revenue also increases. Moreover, during the unforeseen situation like flood, war etc. the government can raise its revenue by increasing the tax rates without affecting the poor.
- **Educative Effect:** Direct taxes create civic consciousness among taxpayers. Since the taxpayers feel the burden of tax directly, they are interested in seeing that the Government properly spends the money. They are conscious of their rights and responsibilities as a citizen of the State.
- **Control the Effects of Trade Cycles:** Direct taxes control the effects of trade cycles. They can be used as a tool to mitigate the effects of inflationary and deflationary trends by raising or reducing the tax rates.

Limitations of Direct Taxes:

The following are the demerits of direct taxes:

- **Arbitrary in Nature:** Direct taxes tend to be arbitrary because of the difficulty in measuring the ability to pay tax. Paying capacity of the people cannot be measured precisely. The levy is highly influenced by the policies of the Government.
- **Difficulties in the Formulation of Progressive Tax Rates:** Direct taxes take the form of progressive taxation i.e. the tax rates increases with the rise in income. It is very difficult to formulate the ideal progressive rate schedules in this regard, since there is no scientific base.
- **Inconvenience:** Under direct taxes, the taxpayer has to adhere to many legal formalities such as submission of the income returns, disclosing the sources of income etc. Moreover, he has to follow numerous accounting procedures which are difficult to comply with. Further, direct taxes have to be paid in lump sum and at times, advance payment of tax has to be made. This causes much inconvenience to the taxpayers.
- **Possibility of Tax Evasion:** The high rates of direct taxes create the tendency to evade more. There is possibility for tax evasion by fraudulent activities. Thus, it is said that the direct taxes are the taxes on honesty.
- **Limited Scope:** The scope of the direct tax is very limited. In Ethiopia, most of the people come under or below the middle-income category. If only direct tax is followed, these people

cannot be brought into the tax net because of the basic exemption given. Thus, the Government cannot depend upon direct tax alone.

- **Disincentive to Work, Save, and Invest:** When the taxpayer earns certain level, they have to pay more, because of the higher rate of taxes attributed to the higher slabs. This will in turn discourages them to work further, save and invest.
- **Expensive to Collect:** Under direct taxes, each and every taxpayer is separately assessed. Thus, the large number of taxpayers to be contacted and assessed and the prevention of tax evasion make the cost of collection more expensive.

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Indirect Tax

Indirect taxes are taxes on goods and services. They also referred to as commodity or consumption taxes, since they are paid only when a particular transaction of goods or services is effected. These taxes comprise sales tax; value added tax, excise tax, import duty, export duty, and other taxes.

Indirect taxes have the following merits:

- **Convenience:** Indirect taxes are more convenient to the taxpayers. Since the tax is included in the selling price of the commodities, the consumer pays the tax when he purchases them. He pays the tax in small amounts (installments) and does not feel its burden. Thus, indirect taxes are quite convenient and less burdensome.
- **Wide Scope:** While the people with income and wealth above a certain limit, are brought under the levy of direct taxes, indirect taxes are paid by all both poor and rich. Under indirect taxes, everybody pays according to their ability. The tax burden is not imposed on to the small section but it is widely spread. Thus, the indirect tax has wider scope.
- **Elastic:** The revenue from the indirect taxes can be increased. Whenever the Government wants to raise its revenue, or lower it, it can be achieved by increasing and decreasing the rates of taxes on the commodities whose demand is inelastic.
- **Tax Evasion is less Possible:** Indirect taxes are included in the selling price of the commodities. So, evading of such tax becomes very difficult. If the person wants to evade the tax, it can be done only by refraining the consumption of the particular commodity.
- **Substantial Revenue:** Indirect taxes yield substantial revenue to both Central and State Governments. The developing countries like Ethiopia are heavily dependent on indirect taxes. Direct taxes have a limited scope in these countries because of low per capita income.
- **Progressive:** Indirect taxes can be made progressive by imposing lower rates of taxes or giving exemption to the necessary articles and heavy taxes on luxurious articles. Thus, indirect taxes also confirm the principle of equity.
- **Effective Allocation of Resources:** Indirect taxes have great influence in the allocation of resources among different sectors of the economy. Resources allocation can be made effective by imposing heavy excise duties on low priority goods and by granting relief to

industries producing high priority goods. This results into mobilization of resources from one sector to another positively.

- **Discourages the Consumption of Articles Injurious to Health:** Indirect taxes discourage the consumption of certain commodities, which are harmful to health. By imposing very high rates of taxes on commodities like liquors, drugs, cigarettes etc., which are harmful to health, their consumption can be reduced.

Limitations of Indirect Taxes:

The following are the demerits of indirect taxes:

- **Ability to Pay Principle is Violated:** Indirect taxes are not directly connected to the taxpayers' ability to pay. Therefore, both the rich and poor equally pay the tax. Thus, the principle of ability to pay is violated. Indirect taxes are regressive in nature.
- **Uncertainty:** If indirect taxes are not levied on the commodities of common consumption and levied only on luxurious articles, they tend to be inelastic. The quantity demanded will be affected by the imposition of the taxes. Thus, the revenue generated from them is uncertain.
- **Discourages Saving:** Indirect taxes are included in the selling price of the commodities. Hence, the people have to spend more on the purchase of the goods. This, in turn affects the savings of the people.
- **High Cost of Collection:** Indirect taxes are uneconomical as they involve high cost of collection.
- **Civic Consciousness is Not Created:** Under indirect taxes, taxpayers don't feel the burden of the tax. They are not aware of their contribution to the State. Thus, indirect taxes do not create the civic consciousness in the minds of the people.
- **Inflationary:** The indirect taxes cause an increase in the price all around. The increase in the prices of raw materials, finished goods and other factors of production creates inflationary trends in the economy.

Differences between Direct and Indirect Taxes:

Direct and Indirect taxes differ among themselves on the following grounds:

Shiftability of the Burden of Tax: In the direct taxes, the impact and incidence fall on the same person. It is borne by the person on whom it is levied and is not passed on to others. For example, when a person is assessed to income tax, he cannot shift the tax burden to anybody else, and he himself has to bear it. On the other hand, in the case of indirect taxes, the impact and incidence fall on different persons. It is not borne by the person on whom it is levied. The burden of the tax can be shifted. For example, when the manufacturer of cement pays excise duty, he can shift the tax burden to the buyers by including the tax in the price of the cement.

Principle of Ability to Pay: Direct taxes conform to the principle of ability to pay. For example, now people having monthly employment income above Birr 150, only is liable to pay income tax. But, indirect taxes are borne and paid by the weaker sections of the society also. As such, these taxes do not conform to the principle of ability to pay.

Measurement of Taxable Capacity: In the case of direct taxes, tax-paying capacity is directly measured. For example, the taxable capacity for income tax is measured on basis of the income of the individual. On the other hand, in the case of indirect taxes, taxable capacity is measured indirectly. The luxurious articles are levied at the higher rate of taxes on the assumption that they are purchased by the rich people. However, low rate is charged on the articles of common consumption.

Principle of Certainty: Direct taxes ensure the principle of certainty. Both the Government and the taxpayer know what amount is to be paid and the procedures to be followed. But in the case of indirect taxes, it is not possible. The taxpayer does not know the amount of tax to be paid and the Government cannot predict the quantum of revenue generated from the indirect taxes.

Convenience: Direct taxes cause much inconvenience to the taxpayers since they are to be paid in lump sum. But the indirect taxes are paid by the consumers in small amounts as and when they purchase the commodities. Moreover, the taxpayers need not follow any legal formalities in the payment of tax. Thus, indirect taxes are more convenient to them.

Civic Consciousness: People felt the burden of direct taxes directly. The taxpayer is conscious of his contribution to the Government and interested in knowing whether the tax paid by him is properly used or not. In this way, it creates civic consciousness among the taxpayers. But indirect taxes do not raise such consciousness among the taxpayers, because they pay the taxes indirectly.

Nature of Taxation: Most direct taxes are progressive in nature. The rates of taxes go up with the increase in the tax base i.e. income of a tax payer. But rich and poor irrespective of their income equally pay indirect taxes. Thus, they are regressive in nature.

Removal of Disparity in Income and Wealth: Since the direct taxes are progressive in nature, they reduce the disparities of income and wealth among the people to a considerable extent. But indirect taxes have a negative effect. Actually they are widening the gap between the rich and poor when they are levied on the goods of common consumption.

2.8. Incidence of Taxes

Incidence of a tax means the final or ultimate resting place of the burden of the tax payment. The burden of a tax does not always lie on the person from whom it is collected. In many cases, it is borne by the other people also. Thus, the person who initially pays the tax may not be actually bearing its money burden as such. Hence, it is necessary to know who bears the immediate burden of tax and who bears the ultimate burden of tax. According to the law, the tax is collected from a particular individual or business unit, which has paid the tax in the first instance and may transfer it to some one else. If such a shifting of tax takes place, the original taxpayer has served only as a collecting agent. There are two concepts of tax incidence: legal and economic

- **Legal (Statutory) incidence:** The individual or group of individuals who have the legal responsibility for paying the tax to the government bears the legal incidence of the tax. Who is legally required to pay tax?
- **Economic incidence:** The individual or group of individuals, whose real income, welfare or utility is reduced by the tax, bears the economic incidence. The economic incidence is independent of the legal incidence; that is, those who bear the legal incidence may be different from those who bear the economic incidence. When the economic incidence differs from the legal incidence, the burden of the tax is said to be "shifted". Who is really paying the tax?

Shifting incidence of tax: It refers to the process by which the money burden of a tax is transferred from one person to another. Whenever there is a shifting of taxation, the tax may be shifted either forward or backward.

A producer, upon whom a tax has been imposed, may shift the tax burden to the consumer or to the factors of production. If the producer shifts the tax burden to the consumer, it is known as "**Forward Shifting**". On the other hand, if the producer shifts the tax burden to the factors of production i.e. to the suppliers of raw materials etc., it is known as "**Backward Shifting**". The backward shifting can be taken place by compelling the supplier to reduce the price of raw materials etc.

2.9. Tax evasion and avoidance

It is necessary to distinguish three terms in relationship to enforcement: tax avoidance, and tax evasion, and tax delinquency. *Tax evasion* involves a fraudulent or deceitful effort by a taxpayer to escape a legal tax obligation. This is a direct violation of tax law. *In simple terms it is illegal manipulations to reduce tax. Accountants sometimes refer to avoidance as 'tax planning' or 'tax mitigation' which emphasizes its legality.*

Tax avoidance, in contrast, does not violate the letter of law. It *occurs when a tax payer arranges his/her economic behavior in such a manner as to maximize his/her post tax economic position*, that is, to minimize the advantage use of existing tax law provisions and, in the long run, by influencing tax legislation through the support of lobbies and pressure groups which represent the special interests of the taxpayer. Tax avoidance is lawful, while tax evasion is not.

Tax delinquency refers to failure to pay a tax obligation on the date it is due. Ordinarily, tax delinquency is associated with inability to pay a tax because of inadequate funds, but it does cover the possibility of nonpayment of inadequate fund, but it does cover the possibility of non payment even though funds are available. In any event, tax delinquency may be only a temporary escape from tax payment, since the government unit to which the tax is owed can place liens on the property and future earning if the taxpayer in order to secure payment eventually.

The causes of avoidance and evasion include high tax rates, imprecise laws, insufficient penalties, and inequalities. Avoidance and evasions become more rewarding as rates of tax become higher. Therefore it is worth spending more money on advice, performing more maneuvers and taking greater risks

Common ways of tax evasion

- I. **Keeping three sets of books** to record business transactions. One record portraying the actual business result (for the owner), the second inflated performance to pretend in good credit worthiness (for creditors) position and the final for tax authority understated figures for low taxes.
- II. **Moon light for cash.** Of course, there is nothing illegal in working extra job. In many cases, however, the income received on such job is paid in cash rather than by check. Hence, there is no legal record and the income is not reported to the tax authorities.
- III. **Barter.** This is an arrangement whereby you receive payment in kind instead of money. This is legally a taxable transaction; however such income is seldom reported.
- IV. **Deal in cash.** Paying for goods and services with cash and checks made out to cash makes it very difficult for the tax authority to trace transactions.

2.10. Effects of Taxation

Now-a-days, revenue rising is not the only purpose of taxation. In a Welfare State, taxation has also been used as a tool of monetary policy to achieve socio-economic objectives. It is used to promote economic growth by controlling the effects of trade cycles and regulating the production and consumption. It has also been used to reduce the inequalities of income and wealth.

2.10.1. Effects of Taxation on Production:

Taxation can influence the production of a nation by influencing four basic factors. They are as follows:

1. Ability to work, save and invest.
2. Willingness to work, save and invest.
3. Diversion or allocation of resources between industries and places.
4. on the size of the industries.

Let us discuss these factors one by one.

2.10.1.1 Effects on the Ability to Work, Save and Invest:

Taxation transfers the money income from the public to the government and thereby reducing their purchasing power. The reduction in purchasing power reduces their ability to obtain necessities and luxuries of life.

Thus, the levy of taxes on people reduces their consumption of necessities and comforts, which lowers the standard of living. When the standard of living is affected, their efficiency and ability to work will also be adversely affected. This effect is strongly felt by the poor people. But the efficiency and ability to work of rich people is not so much affected by taxation.

The savings of the people depends upon their income. When income is reduced by taxation, savings will also be reduced. The ability of the people to invest largely depends upon their savings. When their savings are reduced by taxation, their ability to invest is also automatically reduced by taxation.

2.10.1.2. . Effects of Taxation on willingness to Work, Save and Invest:

Taxation affects the desire of the people to work, save and invest. If the willingness of the people to work, save and invest is affected by taxation, the production will automatically be affected. It is universally recognized that direct taxes have more adverse effect on the willingness of the people to work, save and invest.

It is argued on the grounds of psychological reactions of the people. That is, when the higher progressive taxation is levied, the Government takes the major portion of their additional earnings back. This may create a tendency in the minds of the people not to take risk to work hard to earn such a meagre income.

However, reasonable taxation may not have any such bad effect on the desire to work, save and invest.

2.10.1.3. Effects of Taxation on the Diversion of Economic Resources:

While the volume of production of a country depends upon the ability and willingness to work, save and invest, the pattern of production depends upon the allocation of economic resources between different industries and regions. Taxation can be used in the diversion of economic resources among the industries and regions. Thus, taxation can influence not only the size of production but also the pattern of production.

If the products of certain industries are taxed, their prices would rise and therefore, the demand for their product would reduce. And thereby, the profit is also reduced. This may result in the diversion of resources from these industries to some other industries whose products are subjected to no tax or low tax rate. This diversion of resources may change the composition and pattern of output of industries. The extent to the diversion of resources takes place from taxed industries to non-taxed industries will depend upon the elasticity of demand and supply of products of such industries.

The diversion may be beneficial diversion or harmful diversion. Taxation on the commodities that are injurious to the health like cigarettes and liquors may discourage their consumption, which in turn affects their production. The factors of production engaged in these industries

may be diverted to some other industries producing goods of common consumption etc. This is a "Beneficial Diversion".

The taxation on the goods of common consumption will increase their price. Hence, the consumption of such goods may be reduced. This will affect the production of these commodities, and the resources used in their production may be diverted to the production of some other commodities which may be in the nature of luxury or harmful to health. Thus, such a diversion of resources is harmful and is socially not desirable. It is known as "Harmful Diversion".

2.10.1.4. Effects on the Size of Industries:

When taxes are imposed without any discrimination on the commodities produced by both small and large-scale industries, the production of small-scale industries will be highly affected. This is because there cannot be any economies of large-scale operation. Thus, the cost of production of these industries will normally be high. If taxes are levied on par with the large-scale industries, the total selling price of small sized industries will increase further. This will affect the competitive efficiency of small-scale industries, which in turn affects the production, and survival of these industries.

Hence, tax concessions should be given to encourage the production of these industries.

2.10.2 Effects of Taxation on Distribution:

The effects of taxation on the distribution of income and wealth among the different sections of the society, depends upon two important factors. They are as below:

1. Nature of Taxation, and
2. Kinds of Taxes.

The nature of taxation influences the distribution of tax among the different sections of the society. It includes proportional regressive and progressive nature of taxation.

(a) Effects of Regressive Taxation on Distribution: Under regressive taxation, the burden of taxation falls more heavily upon the poor than on the rich. Regressive taxation may increase the inequalities on the distribution of income and wealth. Hence, the burden of taxation is higher on the poor than on the rich. In effect, this system widens the gap between the rich and the poor.

(b) Effects of Proportional Taxation on Distribution: Under the proportional taxation, taxes are levied uniformly upon the rich and the poor. When the tax rate remains the same, it creates inequalities between them. However, if there is any increase in the income of these sections, the inequalities in distribution of income will also increase. The burden of taxation falls more heavily upon the poor than on the rich.

(c) Effects of Progressive Taxation on Distribution: Under the system of progressive taxation, the tax rates go up with the increase in the income. Thus, in this system, the

inequalities in the income and wealth will be reduced. The major portion of the income and the wealth of the rich is taken away by way of higher tax rates. Hence, the progressive tax system tends to reduce the inequalities in the distribution of income and wealth.

Effects of Taxation on the basis of Kinds of Taxes:

The effects of taxation depend upon the kinds of taxes i.e. direct or indirect taxes.

(a) Effects of Direct Taxes on Distribution: Direct taxes take the form of taxation on the income and property. It attempts to reduce the income of the richer sections and transfers the income to the Government. The Government may use these resources to raise the standard of living of the poor. Therefore, all those taxes, which fall heavily upon the higher income groups, can have favourable distributional effects.

(b) Effects of Indirect Taxes on Distribution: Indirect taxes are levied on commodities. They fall heavily on the lower and middle-income groups who spend a large portion of their income on commodities. In such a situation, indirect taxes have adverse distributional effects. However, indirect taxes may be made progressive if the necessities are exempted from taxation or levied on low tax rates, and luxuries are subjected to higher rates of taxes.

Effects of Taxation on Consumption:

Taxes increase the price of the taxed goods relative to the prices of untaxed or lower taxed goods. The increase in the relative price affects the taxpayer in two ways.

1. Income Effect: The tax reduces the taxpayer's purchasing power or real income. It takes resources away from the taxpayer and transfers them to the government. This is often referred to as the direct burden of the tax.

2.Substitution (or Price) Effect : The tax creates an incentive for the taxpayer to substitute less preferred but untaxed or lower-taxed goods for the more-preferred taxed good